



Automated Vendor Invoicing with Invoice Capture
Power App Solution

- **Overview**

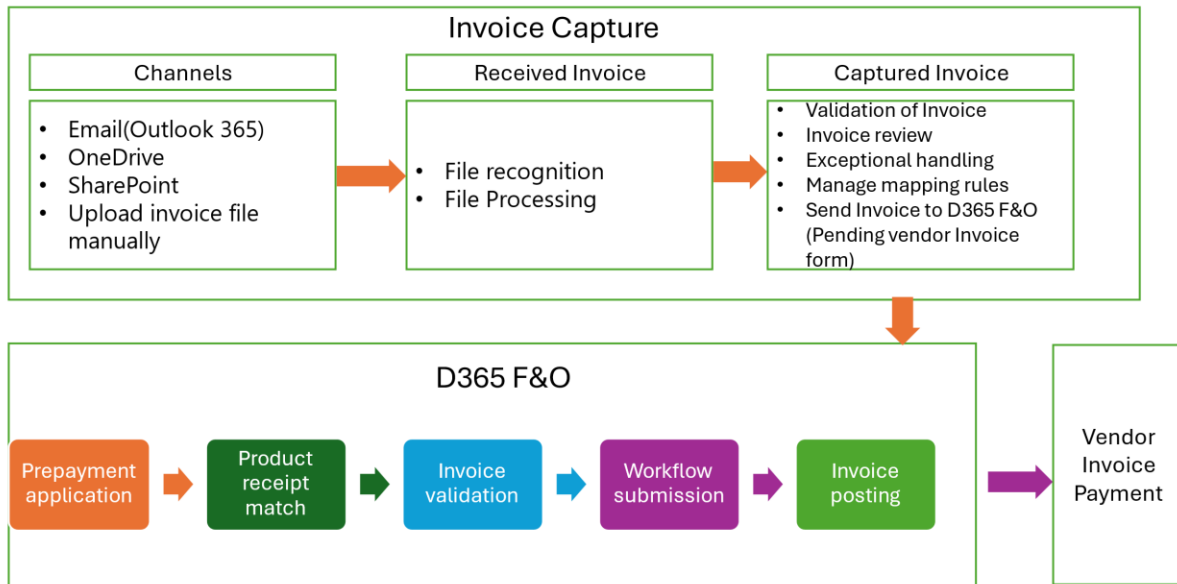
The Accounts Payable (AP) team handles and processes bills for received goods and services. An AP accountant is responsible for ensuring the accuracy of vendor invoice information to prevent additional work correcting errors at period-end. This ensures invoices are paid promptly, averting monetary losses from mistakes or fraud.

With the advancement of AI technology, invoice capture has become an out-of-the-box Power app solution where modern OCR systems can interpret diverse invoice formats from multiple vendors, sometimes without the need for human input.

The document outlines comprehensive guidelines for Invoice capture, configurations in D365 F&O, as well as the complete workflow of automating vendor invoice processes utilizing the Invoice Capture solution.

Please be aware that this document does not include any technical setup or installation instructions.

- **Process Flow - Vendor Invoice automation using Invoice Capture solution**



- The invoice capture system updates the status as soon as an invoice or document is received via different channels. Here are the statuses:

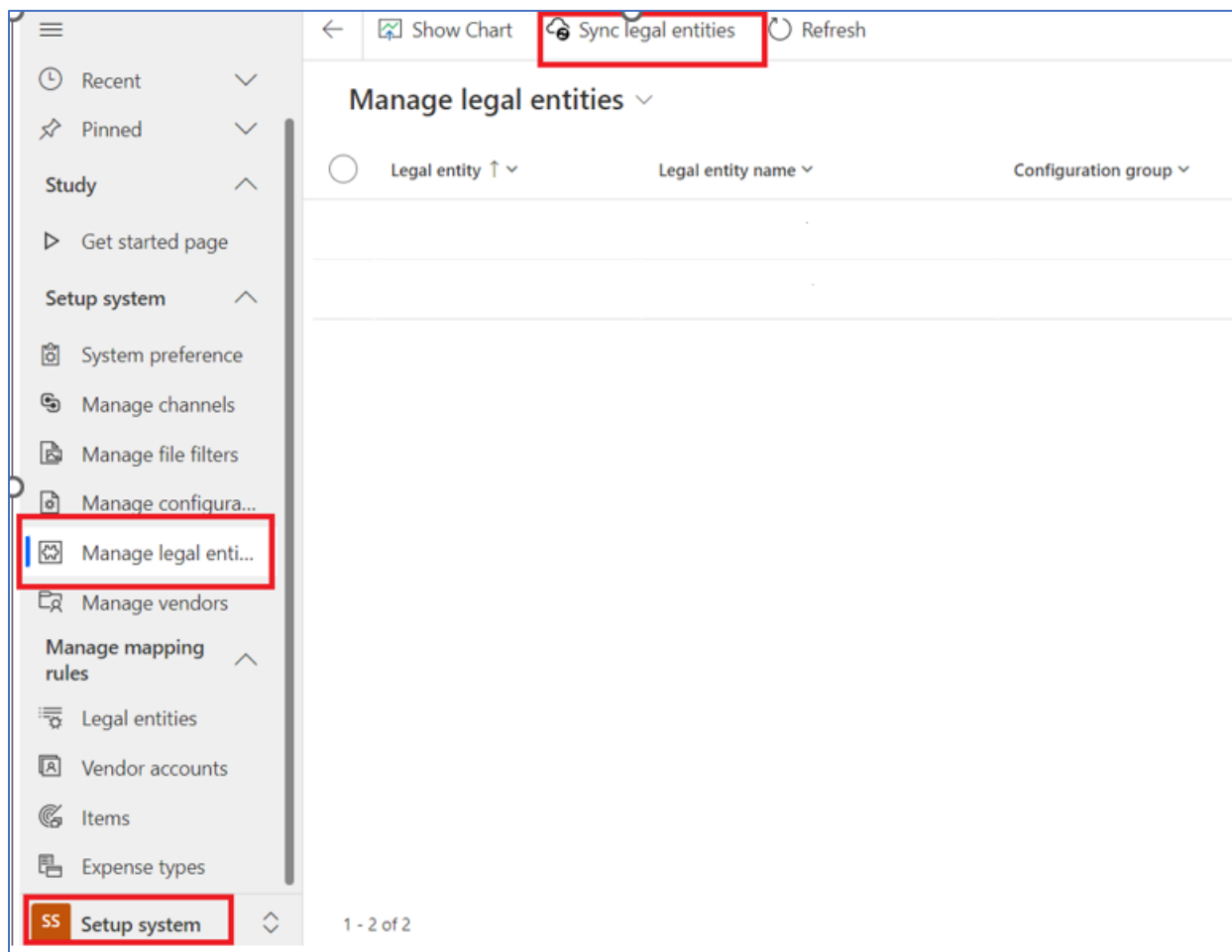
Status	Description	Action
Waiting	The invoice has been captured by a Power Automate flow and is awaiting file validation.	No action is required.
Processing	File filter rules are being applied to validate the invoice, or the invoice has passed filter validation and is being recognized.	Retry
Cancelled	An exception occurred during file validation, or the call to the recognitive service failed.	Retry or Void
Captured	The form recognizer result has been moved to captured invoice staging.	View captured invoice
Voided	If the invoice isn't needed, select Voided. If an invoice has a status of Voided, you can permanently delete it from Dataverse by selecting Obsolete.	Obsolete

- **Invoice Capture Power App solution configurations**

1. Sync Legal entity

To Sync legal entities, go to the area Setup -> System setup -> Manage legal entities. Click the button “Sync legal entities” in the header and click “OK” in the confirmation dialog. When the action is completed, a message will show the number of new legal entities. Meantime, the new legal entities will display in the list view. By default, the default configuration group will be applied for a new legal entity.

Note: Invoice capture power app does not support create legal entity directly but only support to sync legal entities from finance and operation environment.



2. Channel for invoice importing

Invoices are usually sent from different channels (email, file workspace, invoice portal...) via different formats (paper, image...) by vendors. The solution is capable of handling different channels and formats via flexible configuration, supporting four channel types as below:

- Office 365 Outlook
- Outlook.com
- SharePoint
- OneDrive

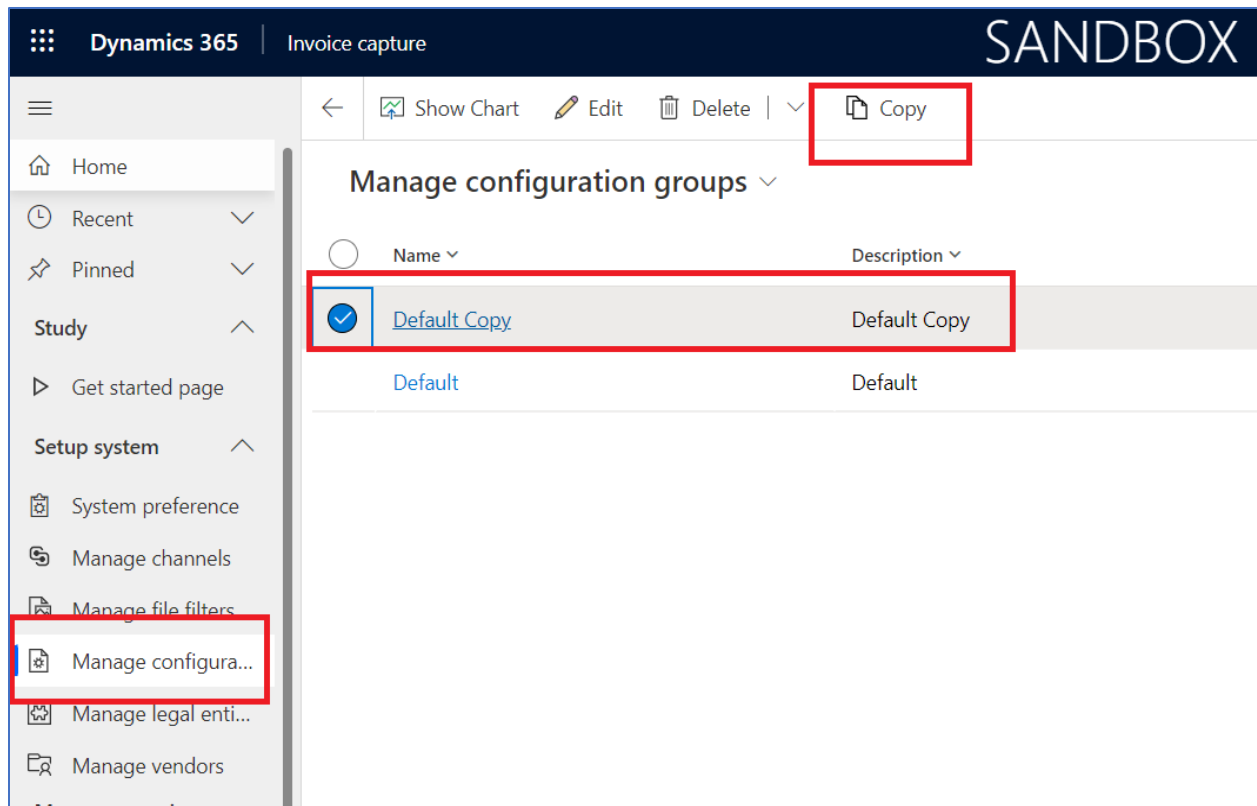
Note: How to set up channels is not part of the document.

3. Configuration group:

The system supports users to manage invoice fields list and manual review settings for legal entities using the Configuration Group component. Users can set up invoice configurations for different legal entities in groups, different legal entities in the same configuration group share the same invoice fields and manual review settings.

To create new configuration group, go to System setup->Define configuration groups component < Click on Copy

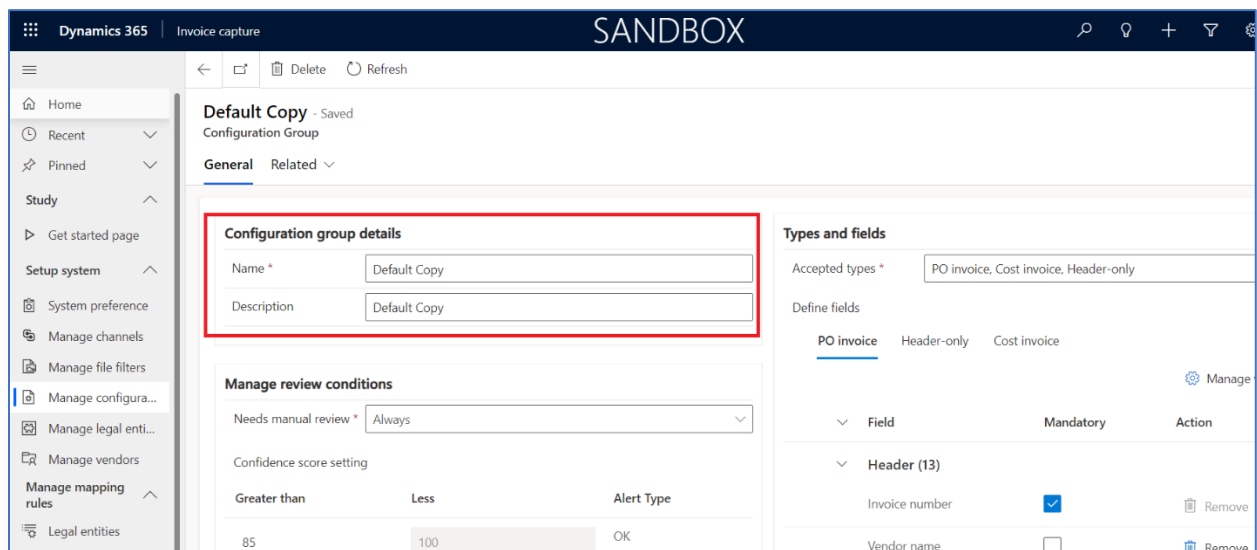
Note: New configuration group need to be duplicated from an existing configuration group. User can edit copy version and update configuration



4. Edit configuration group

Once configuration group create, user can select configuration group and click on edit button to update configuration, below configuration user can edit

- Update configuration group Id and description



- Change manual review setting

The user can decide when an invoice needs to be manually reviewed. To change the manual review setting, click the Need manual review option and select.

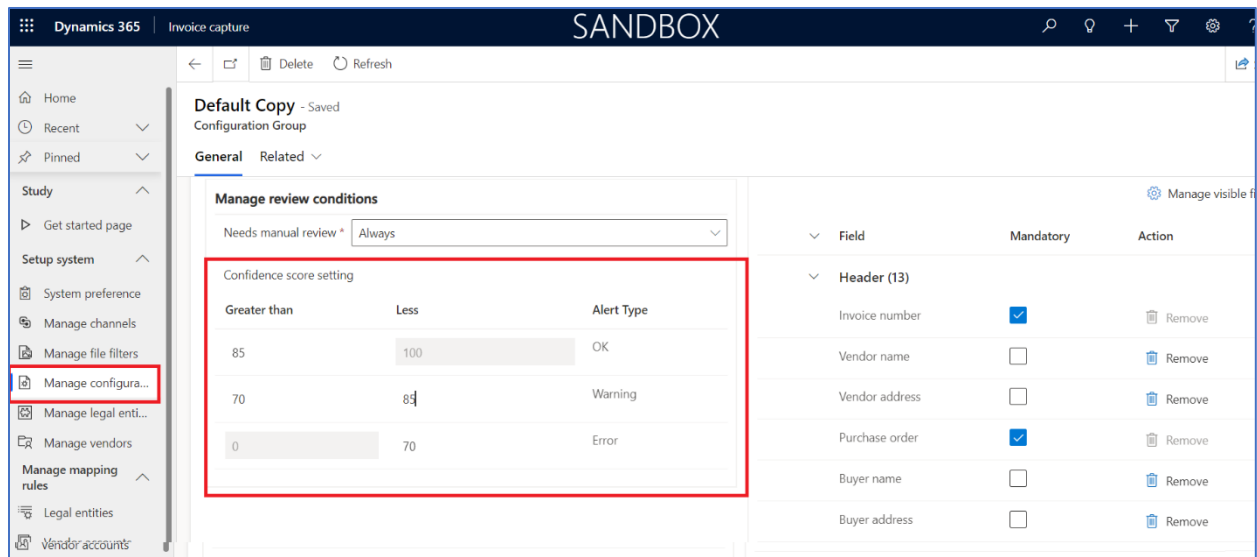
1. Always: Invoices under this configuration group always need manual review.
2. For errors and warnings: Invoices that contain error or warning messages need manual review.
3. For errors: Only need to manually review the invoices that contains error messages.

The screenshot displays the Dynamics 365 Invoice capture configuration interface. The left sidebar shows navigation options like Home, Recent, Pinned, Study, and various setup and management tasks. The main area is titled 'Default Copy - Saved Configuration Group'. It has tabs for 'General' and 'Related'. The 'General' tab is active, showing 'Configuration group details' with fields for Name and Description, both set to 'Default Copy'. Below this is the 'Manage review conditions' section, which is highlighted with a red box. It contains a dropdown for 'Needs manual review' with options: 'Always', 'Errors or warning', and 'Errors only'. The 'Confidence score setting' is set to 'Greater than' with a value of 85. To the right, the 'Types and fields' section shows 'Accepted types' as 'PO invoice, Cost invoice, Header-only' and a list of fields with their mandatory status and actions.

▪ Change confidence score setting:

Confidence score is kind of meta data provided by OCR service to tell the accuracy of recognized invoice data. The higher the score is, the more accurate the recognized data will potentially be. It doesn't mean that value with low confidence score is wrong, it's just about system is not confident about the accuracy. It's better to have manual review for those low confidence score value. The configuration here is to provide flexibility to let users define when manual review is needed according to confidence score. The user can change the confidence score threshold for invoices. To change the confidence score setting, click the confidence score field and update.

1. Warning threshold: Invoice fields that have confidence scores over the warning threshold are considered as correct ones. The warning threshold must be greater than the error threshold and less than 100.
2. Error threshold: Invoice: Invoice fields that have confidence scores under the error threshold are considered as failed ones. The system will display error messages to inform the user. The error threshold must be greater than zero and less than the warning threshold. The system will display warning messages for invoice fields that have confidence scores between the warning threshold and error threshold.

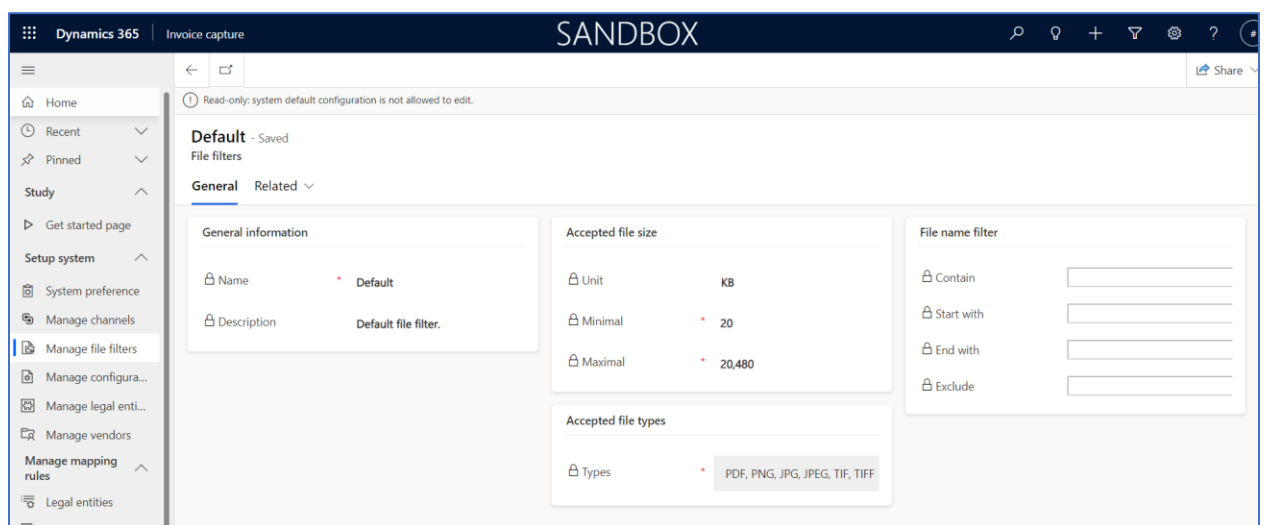
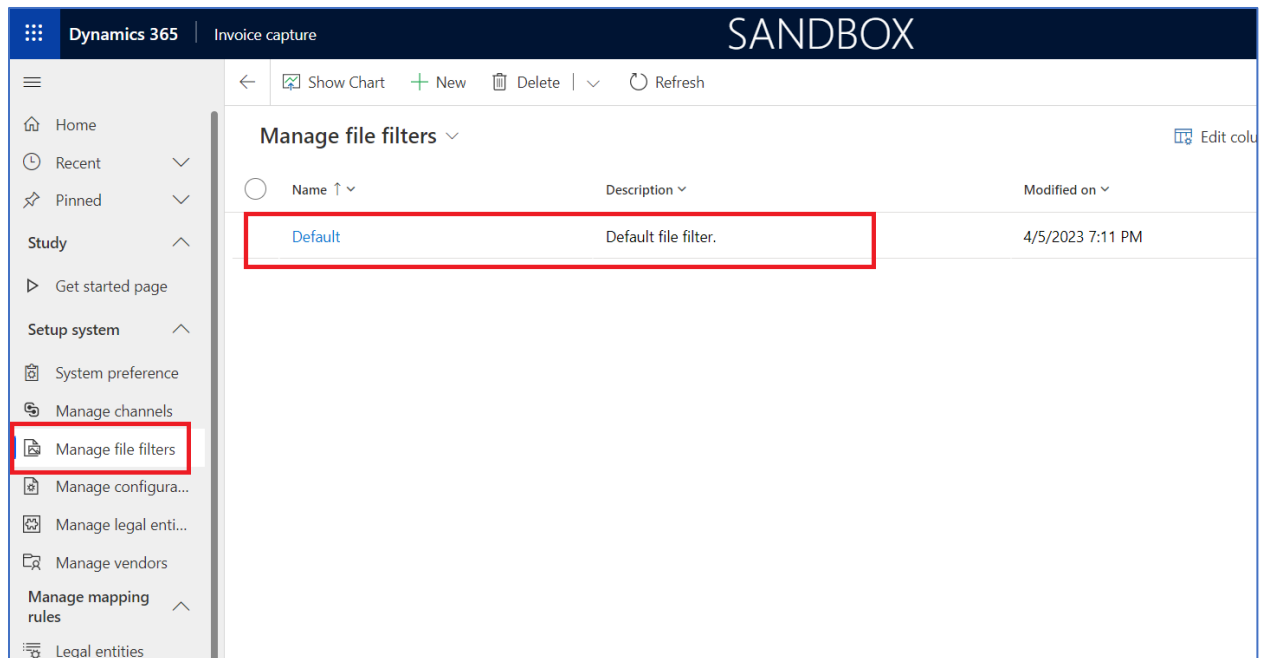


5. Manage File filter

Manage file filters allow user to define additional filters to the incoming invoice files, unlike the filters defined in channel where the file won't be received at all, the filters defined here will cause the file received and exists in the Received files list, but with file validation error. In this case, you have chance to review the incoming file and decide whether it's invalid invoice and you can choose to obsolete the file or you can manually include the file to that the file will be recognized and send to captured invoices. After the solution installed, there will be a default file filter defined. Currently the file filter is global wise, if you want to have different filter settings, you may directly change the default one.

User can update:

1. Accepted file size
2. Accepted file types
3. File name filter



6. Mapping rules

Mapping rules bring basic master data from ERP system. Once mapping rules are maintained, system automatically derives information needed for vendor invoice creation in D365. With mapping rules, AP clerk only needs to check the status from time to time, instead of filling in all the missing fields manually. The system includes three kinds of mapping rules:

- legal entity mapping rules

The screenshot displays a software interface with a sidebar on the left and a main content area on the right. The sidebar contains a list of navigation items: 'Recent', 'Pinned', 'Study', 'Get started page', 'Setup system', 'System preference', 'Manage channels', 'Manage file filters', 'Manage configura...', 'Manage legal enti...', 'Manage vendors', 'Manage mapping rules', 'Legal entities', 'Vendor accounts', and 'Items'. The 'Legal entities' item is highlighted with a red box. The main content area is titled 'Active mapping legal entity rules' and features a table with the following columns: 'Rule name', 'Description', and 'When company name contains'. A single row is visible in the table, with the rule name 'Legal entity mappin...' and description 'Legal entity mapping rule', both of which are highlighted with a red box.

Rule name	Description	When company name contains
Legal entity mappin...	Legal entity mapping rule	

- Vendor mapping rules

Dynamics 365 | Invoice capture SANDBOX

← Show Chart + New Delete | Refresh Export to Excel Import from Excel |

Active mapping vendor rules

Rule name	Description	Legal entity	When vendor name contains	When address co
Test Vendor 02				
Test Vendor		1000		
Vendor mapping ...	Vendor mapping rules	1000	Instacart	Manati, PR 006

Left Navigation Panel:

- Recent
- Pinned
- Study
 - Get started page
- Setup system
 - System preference
 - Manage channels
 - Manage file filters
 - Manage configura...
 - Manage legal enti...
 - Manage vendors
- Manage mapping rules
 - Legal entities
 - Vendor accounts**
 - Items

- Item mapping rules.

Dynamics 365 | Invoice capture SANDBOX

← Show Chart + New Delete | Refresh Export to Excel Import from Excel |

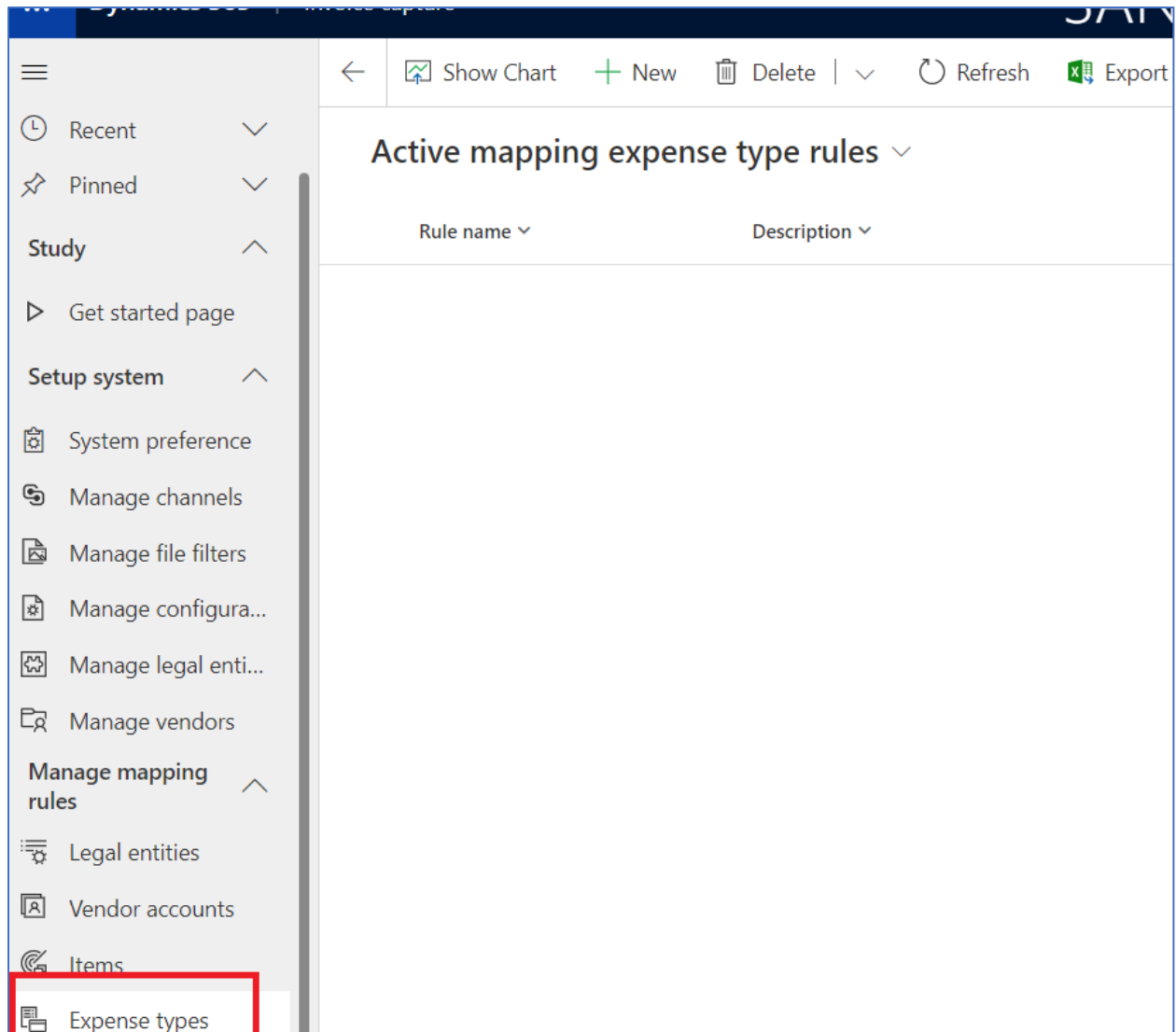
Active mapping item rules

Rule name	Description	Legal entity	Vendor account	When item name cont
Test Item				
Test Item 2				
Item mapping rules	Item mapping rules	1000	1000-000042	Service Item

Left Navigation Panel:

- Recent
- Pinned
- Study
 - Get started page
- Setup system
 - System preference
 - Manage channels
 - Manage file filters
 - Manage configura...
 - Manage legal enti...
 - Manage vendors
- Manage mapping rules
 - Legal entities
 - Vendor accounts
 - Items**

- Expense types rules (This is for procurement category or cost)



- Note: Besides managing mapping rules via app, the system also provides Excel add-in to manage rules in batch, including functions “Excel Templates”, “Export to Excel” and “Import from Excel”.

- **D365 F&O Configuration**

1. Enable “Vendor invoice automation” feature in Feature management

Path: System Administration > Workspace > Feature Management > All > Search “Vendor invoice automation” feature. (From 6/30/2022 this feature is mandatory, so no need to enable in latest version of D365 F&O)

The screenshot shows the 'Feature management' page in D365 F&O. The 'All' tab is selected. A table lists features, with the 'Vendor invoice automation' feature highlighted. The table has columns: Feature name, Status, Enable date, Feature added, Feature state, and Module.

Feature name	Status	Enable date	Feature added	Feature state	Module
Vendor invoice automation	✓	6/30/2022	7/13/2020		Accounts payable
Vendor invoice batch posting	✓	10/5/2021	2/19/2020	Mandatory	Accounts payable

2. Parameters for automatically applying prepayments in imported invoices.

Path: Accounts Payable > Set up > Accounts Payable parameter > Vendor invoice automation tab > Apply prepayment automatically

- Automatically apply prepayment for imported invoices – When this option is set to Yes, the system automatically looks up existing prepayments for a corresponding purchase order when vendor invoices are imported. If any prepayments that can be applied are found, one additional line is added to apply the prepayments in the vendor invoices that are being imported.
- Block follow-up automation process in case of prepayment application failure – When this option is set to Yes, invoices will be blocked if a prepayment can't be applied. Like other automated processes, such as the receipt matching process and the submission to a workflow process, the invoice automation process won't pick up blocked invoices until the prepayment is manually applied.

Standard view ▾

Accounts payable parameters

General

Invoice

Invoice validation

Ledger and sales tax

Credit rating

Settlement

Broker and royalty

Electronic documents

Number sequences

Vendor invoice automation

Set up options for automating vendor invoice processes

VENDOR INVOICE WORKFLOW

Automatically submit imported invoices ☒ Yes

Match product receipts to invoice lines ☒ Yes

Require the calculated totals to equal the imported totals ☐ No

Match product receipts automatically

Automatically match product receipts ☒ Yes

MAXIMUM ALLOWED ATTEMPTS

Number of times to attempt automatic matching

Apply prepayments automatically

Automatically apply prepayment for ☐ No

Block follow-up automation process ☐ No

3. Parameters for submitting imported vendor invoices to the workflow system.

Path: Accounts Payable > Set up > Accounts Payable parameter > Vendor invoice automation tab > Vendor Invoice workflow

- **Automatically submit imported invoices to workflow** – If you set this option to **Yes**, imported invoices are automatically submitted to the workflow system. If this option is set to **No**, invoices must be manually submitted.
- **Match product receipts to invoice lines prior to automatically submitting** – If you set this option to **Yes**, the imported invoice can't automatically be submitted to the workflow system until the matched product receipt quantity equals the invoice quantity.
- **Require the calculated totals to equal the imported totals for automatic workflow submission** – If you set this option to **Yes**, the invoice can't automatically be submitted to the workflow system until the totals that are calculated for the invoice equal the imported totals. If this option is set to **No**, the invoice can automatically be submitted to the workflow system, but it can't be posted until the calculated totals are corrected so that they match the imported totals.
- **Automatically match product receipts to invoice lines** – If you set this option to **Yes**, background processing can be used to do automatic matching of posted product receipts to invoice lines that a three-way matching policy is defined for.

- **Number of times to attempt automatic matching** – Select the number of times that the system should try to match product receipts to an invoice line before it concludes that the process failed. When the specified number of attempts is reached, the invoice is removed from automation processing.

Standard view ▾

Accounts payable parameters

Set up options for automating vendor invoice processes

Vendor invoice workflow

Automatically submit imported invoices ☒ Yes

Match product receipts to invoice lines ☒ Yes

Require the calculated totals to equal ☐ No

Match product receipts automatically

Automatically match product receipts ☒ Yes

MAXIMUM ALLOWED ATTEMPTS

Number of times to attempt automatic matching

Apply prepayments automatically

Automatically apply prepayment for ☒ Yes

Block follow-up automation process ☒ Yes

4. Parameters for processing automation background tasks.
Path: System Administration > Set up > Process automation > Background processes

Set frequency for below processes:

1. Submit vendor invoices to workflow
2. Match vendor invoice lines with product receipts

The screenshot shows the SAP Finance and Operations interface for process automation. The 'Background processes' tab is selected. The table below lists the background processes:

Name	Type	En...	Company	Repeats	Repeat in
Insights provisioning status check	Insights provisioning status check	✓	*	Hour	
Insights system configuration validations	Insights system configuration va...	✓	*	Hour	
Match vendor invoice lines with product receipts	Matches quantities on vendor in...	✓	*	Hour	
SCM Insights provisioning status check	SCM Insights provisioning statu...	✓	*	Daily	
Submit vendor invoices to workflow	Submit vendor invoices to workf...	✓	*	Hour	
Validate invoice matching	Validates invoice matching for a...	✓	*	Hour	

- **Data entity available**
 - Vendor Invoice header
 - Vendor invoice lines
 - Vendor invoice document attachment
 - Vendor invoice (Composite data entity)

- **Conclusion:**

This guide provides insights into the necessary setup and configuration to automate vendor invoices using an Invoice Capture system.

Hope this will help you.

Cheers :)